Asset Management Challenge 2026

Second round: a tactical deviation with discretionary equity investing

Financial Modeling, USI Lugano. These guidelines complete the general guidelines of the challenge.

1. Key dates

Saturday 7 and Sunday 8 November	Insert the new positions in the Bloomberg portfolio. Bloomberg uses the closing prices of Friday 6 November
Sunday 8 November, 23:59	Deadline for the report and the portfolio description (all groups)
Tuesday 10 November, 11:00	Presentations of groups 6 and above (Bloomberg Lab, SI-008)
Thursday 12 November, 13:30	Presentations of groups 1, 2, 3, 4 and 5 (Bloomberg Lab, SI-008)
Until the third round	The portfolio remains unchanged until the third round (28 and 29 November)

2. The task

In this round you deviate tactically from your Strategic Asset Allocation (SAA), with the principles of discretionary equity investing discussed in Class 5.

- Sell part of the positions of the SAA, and invest the proceeds in **individual stocks** that you select.
- The SAA of the first round does not change. It remains the reference against which the deviation is measured.
- The portfolio can contain only **long positions**. From this round, inverse and leveraged ETFs are admitted.
- You can use the portfolio construction methods presented in class to choose the weights of the stocks, in particular the Treynor-Black model, with the SAA in the role of the passive portfolio.
- The investment horizon ends with the challenge, at the end of December. The catalysts on which you rely must be expected within this horizon.

3. The tracking-error budget

The size of the deviation is limited by a budget of tracking error. The **ex ante tracking error** of the new portfolio against the SAA must lie **between 2% and 5% per year**.

- The tracking error is the standard deviation of the difference between the return of the new portfolio and the return of the SAA.
- Compute it with the same convention as the volatility of the SAA in the first round: monthly returns in USD, annualized, over the last 60 months where they are available.
- The lower limit ensures that the deviation is large enough to matter. The upper limit ensures that the portfolio remains close to the allocation that the team has chosen.
- The volatility target of the first round applies to the SAA, not to the new portfolio. Report the ex ante volatility and the one-month 5% VaR of the new portfolio next to those of the SAA.

4. Evaluation

As in the first round, the performance of the portfolio is measured by the **Sharpe Ratio**, computed on the returns realized during the challenge.

5. The report

The report contains three parts: the analysis of the stocks, the performance of the first round, and the checkpoint assignments given in class.

Analysis of the stocks

For each company that you add to the portfolio:

1. **Valuation.** The fundamental value of the company, and the method used to compute it. Explain why the method suits the company, and which methods are unsuitable or difficult to apply to it.
2. **Specific issues.** The risks and the upside potential that the valuation must take into account. Use the terminology of the course where it applies: value trap, sustainable growth, management quality, activist investment.
3. **Catalysts.** The events that you expect to trigger a revision of the price towards your valuation, and the reasons why they can occur before the end of December. This is the central part of the analysis.

Performance of the first round

A report on the performance realized from the start of the first round to Friday 6 November:

1. The return, the volatility, and the Sharpe Ratio of the portfolio. Compare the realized volatility with the target of the SAA.
2. A performance attribution analysis, with the Bloomberg function `PORT` or with your own computation. You must be able to say which positions are behind the gains and the losses.

Checkpoint assignments

The report must include the two checkpoint assignments given in class. Each is graded as complete or incomplete, together with the report. The full text of each assignment is on the last slides of the corresponding in-class deck on iCorsi.

1. **The alphas (Class 3, Part II).** One page: the three to six stocks that you add, each with its alpha and the justification of the alpha (the valuation and the catalyst; a historical average is not an alpha); the weights proportional to $\alpha_i/\sigma^2(\varepsilon_i)$, with the residual variances estimated on your data and a weight of zero for the stocks with a negative alpha; the information ratio expected from the Fundamental Law, what it adds to the Sharpe Ratio of the SAA, and an assessment of its credibility.
2. **The valuation dossier (Class 5).** For each stock: the valuation method and the reason for its choice; the intrinsic value with all the inputs, and the margin of safety at the current price; the check against the value trap (sustainability of profits, use of capital by the management, free cash flow); the catalyst. The dossier gives a fixed structure to the analysis of the stocks described above: the two can be written as one section.

Portfolio description

The complete portfolio after the changes, and the list of the trades. For each position: the name of the security, the identifier (Bloomberg ticker or ISIN), the currency, the number of shares, the weight, and the date of the prices used. State the ex ante tracking error against the SAA.

Delivery

Send the report and the portfolio description by e-mail to the teaching assistant (riccardo.croci@usi.ch) by **Sunday 8 November, 23:59**. The deadline is the same for all groups, whatever the day of the presentation. Upload the same material to the website of your fund.

6. The portfolio in Bloomberg

- Update the Bloomberg portfolio of the first round with the function `PRTU`: do not create a new portfolio, so that the history of the performance is preserved.
- Insert the new positions on **Saturday 7 or Sunday 8 November**, so that Bloomberg uses the closing prices of Friday 6 November.
- The portfolio remains shared with the teaching assistant. It must be identical to the portfolio in the report, and it cannot be changed before the third round.

7. The presentation

- Each group has about **15 minutes**. The format is the same as in the first round, and all the members of the group must take part.
- Present the performance of the first round, then the stocks that you add, with their valuation and their catalysts.
- During the presentations of the other groups, you are expected to perform due diligence: ask questions and challenge their ideas.